

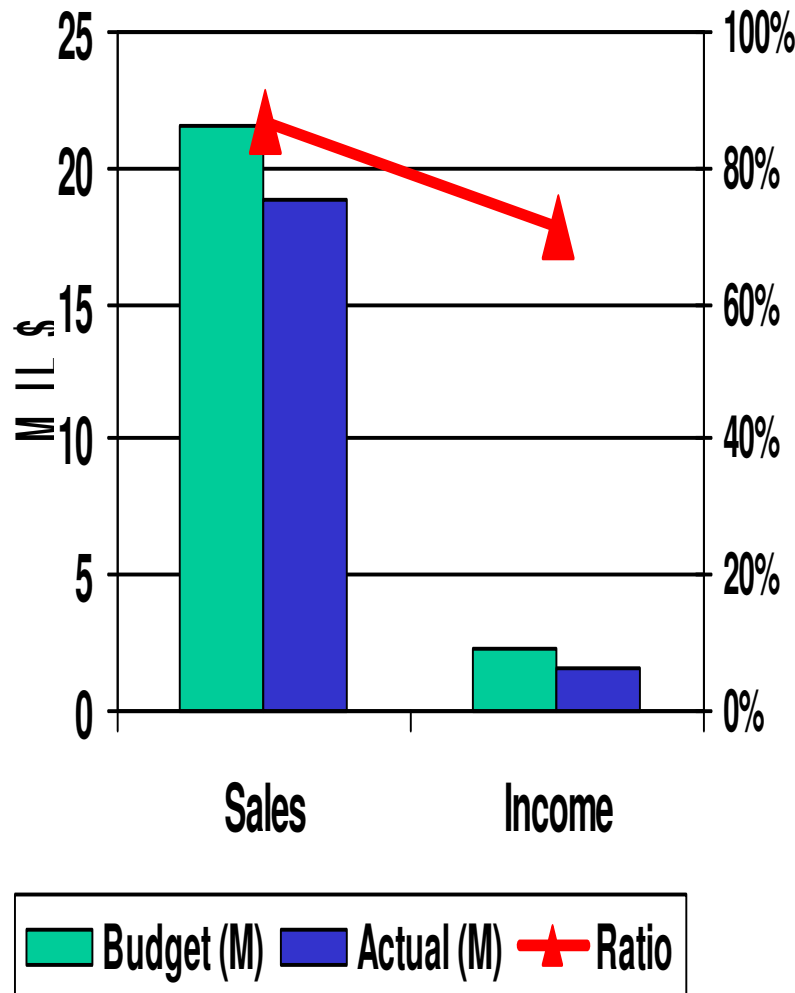


Local Support, Total Commitment

TLD ACE
All Hands Meeting #1

June 1, 2012

TLD

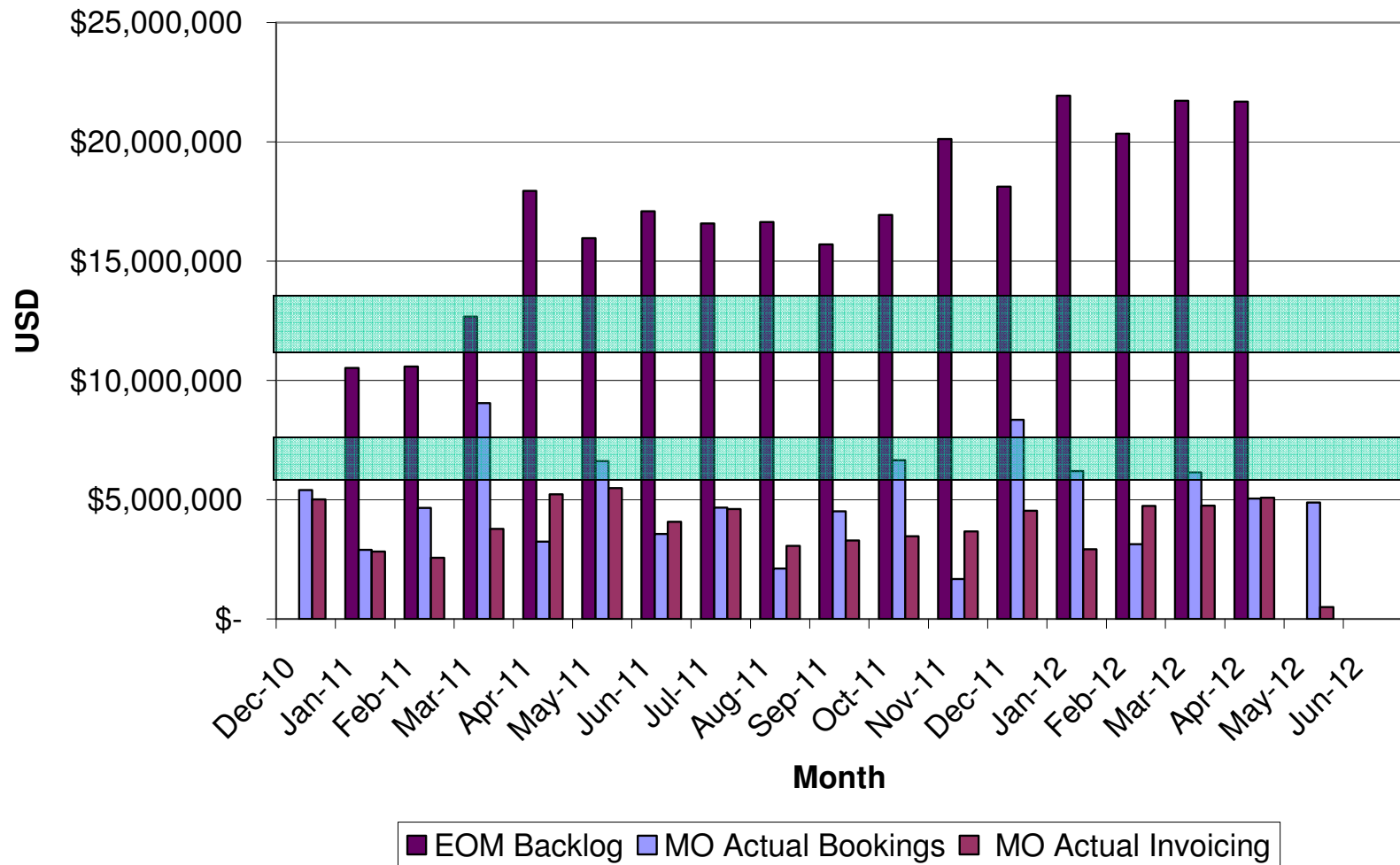


Financial Performance (EOM APR)

- Sales (Volume) – 18.8M vs. 21.6M
- Income (Profit) – 1.65M vs. 2.31M
- Sales are at **87%** of budget BUT Income (Profit) is only at **71%** of Budget
- **May Forecast = 5.6 MUSD**
- **May Actual = 4.02 MUSD**

Status of Our Business

Sales, Bookings and Backlog



Status of Our Business

• What's in Our Backlog?

EOM April Backlog		\$21,693,929
F22	\$2,394,682	
LCU-015-CUP	\$2,252,739	
LCU-025-DEV	\$1,564,614	
LCU-025-CUP	\$4,496,160	
LCU-025-EMP	\$1,564,614	
Total Military Work		\$12,272,809
UPS GPU (25)	\$1,042,944	
US Airways GPU (13)	\$474,903	
Air Algiers 804 (11)	\$989,780	
AA 802 (15)	\$2,326,925	
Total Other Major Orders		\$4,834,552
Total Other Small Order		\$4,586,568

Status of Our Business

- **USAF expected to order 90 ACU-808
~ Nearly 18MUSD!**
- **Why? We sold them 10 units about 2 years ago that worked great thanks to the design improvements we made**
- **How? We will make 6 units a month for 18 months**
- **Really? We rate the likelihood of this sale at 99%**

Huge Potential Order



– F-35 Liquid Cooling Unit for F-35



– F-22 Combination Cart



– SPT



– New GPU



– Tier 4 Projects

Engineering Projects

- **TLD ACE is the SOLE SUPPLIER for Low Pressure ACU for the Royal Australian Air Force**
- **They have purchased 79 ACU from ACE, 34 of which are ACU-804**
- **We expect their total fleet of ACU-804 to reach over 75 units**
- **We just finished manufacturing the a batch of 16 units, the first six of which were received in Australia**

Quality Hall of Shame

People behind your equipment



T26787

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

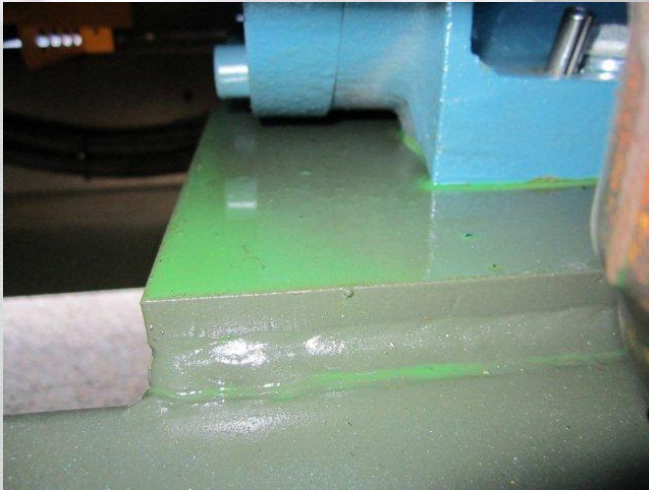
People behind your equipment



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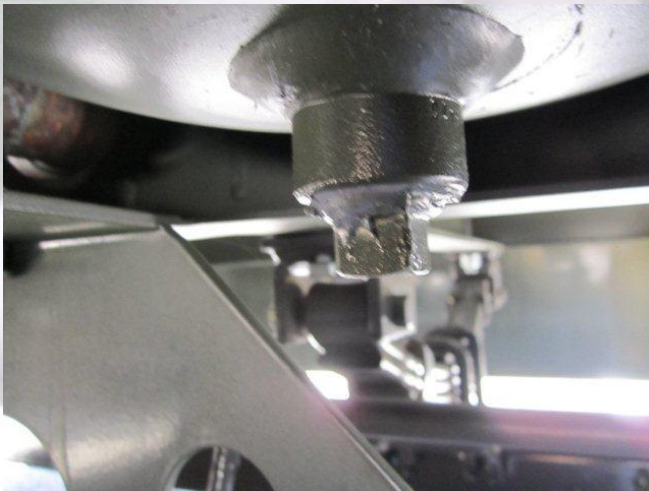
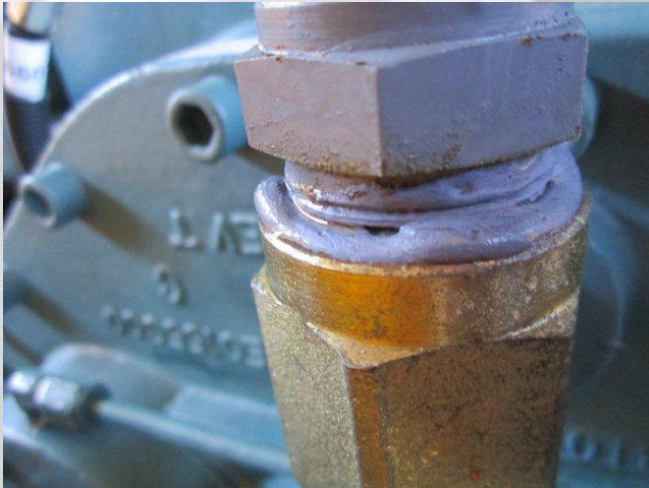
People behind your equipment



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LOCAL SUPPORT, TOTAL COMMITMENT

People behind your equipment



T26792

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

- **This is a huge embarrassment to TLD**
- **These units are on the other side of the globe and will be very expensive to fix**
- **In addition, TLD ACE will have to pay for 3 containers to be decontaminated**

Quality Hall of Shame

- We must strive to make *Every* Unit a High Quality Unit
- We must ensure we follow our Documentation, Test Procedures and Engineering Drawings
- We must ensure we make refrigeration systems that don't leak – all the time, every time
 - Customers with low refrigeration level simply think our design is poor, and don't come back to TLD for follow-on orders
- Quality starts with each of us – we must be take responsibility to ensure we only ship High Quality Units

Good Enough is not Good Enough

Quality Focus

- **Ways to Improve your Safe Work Habits**
 - Seek Cleanliness – Avoid Clutter
 - Eliminate trips and falls
 - Improves efficiency
 - Fall Protection System for Work on top of Units
 - Eliminate risk of falling
 - Don't Take Risks
 - Don't lean from ladders, don't take shortcuts

Safety

- 2011 was a challenging year, with slower than expected growth and overall failure to meet budgets
- 2012 shows strong recovery, with exceptional results in Q1
- TLD Group Backlog is at record levels, largely due to long-term military work in the US
- 2012 performance is very important to our shareholders, as they work to improve the value of their investment

View From the Group



New TLD Wuxi factory (opening Q4-2012)



- In 2009, TLD has signed an exclusive contract for the risk sharing development and future production of the **TaxiBot** tractors
- The concept has been tested and validated by AIRBUS in June 2010 with a demonstrator already built
- **TaxiBot** had its first prototype ready in October 2011, and obtained the innovation award of the InterAirport Show 2011



Taxiing Fuel annual worldwide expense over 8B\$ and 18M ton CO2

TLD Green 

**Reinventing the
Airport**

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- **TLD STRATEGIC GOALS 2011-2013**
- **To install durably the TLD Brand as a synonym of quality and superior service to our customers worldwide.**
- **To bring value to our customers through innovation as well as product quality and reliability**
- **To improve operating conditions in order to reach our quality and support goals while delivering an excellent financial performance**

2011-2013 Goals

People behind your equipment

Us

**Deep
Hole**

Our Current Situation

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- **Our Business Indicators are Up!**

- Good Bookings
- Exceptional Backlog
- Good (not great) profit
- Strong Forecast
- Excellent Recent Wins



Our Business is Great, But....



- **Our Performance is Down!**
 - Monthly Sales Not achieving plan
 - Monthly Sales Not Achieving Forecast
 - Poor Shipped Product Quality
 - Late Delivery
 - End of Month Mad Rush
 - Low Productivity/Efficiency

But our Factory Is Not!

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Our Current Situation

- **Teamwork is the key to recovering our performance**
- **We *must* work together to improve**
 - Product Quality
 - Manufacturing Efficiency
 - Material Availability
 - Engineering Accuracy
 - On-Time Delivery

We Must Improve Quickly!

behind your equipment

- **RONCE**

- YTD Performance > 25%
 - We are on track for a full payout, but we must continue to work to meet our budget
- Our Contributions
 - Maximize Income by minimizing costs
 - Don't waste anything
 - Work efficiently
 - Improve quality to reduce cost of rework and warranty
 - Minimize Capital
 - Move units through production and test quicker
 - Ensure inventory quantities are correct – only buy what we need
 - Maintain our equipment so we don't have to spend money on repairs or replacement

Your Daily Choices Impact this Bonus!

RONCE Bonus



- **2012 is a year of Great Opportunity for TLD ACE**
- **Business Indicators must improve**
 - Quality, Efficiency, delivery
- **Military Business Growth**
- **Engineering Projects Pave the way for our future, they must be supported**

Every action we take impacts the company and ourselves
– Make your impact Positive –

Summary

People behind your equipment

Support Quality Innovation

Our continuous common goals

